# The Singapore Car Buyer Checklist

COE, OMV, ARF, road tax, insurance — the gotchas every new arrival misses

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**COE, OMV, ARF, and the 10-year cost nobody shows you on the showroom floor**

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## A short honest introduction

When I first arrived in Singapore and asked about buying a car, a colleague looked at me with something between sympathy and amusement. "You know about the COE, right?" I didn't. What followed was one of the more expensive education sessions of my life.

This is the checklist I wish I'd had before I walked into my first Singapore showroom. Not a sales pitch, not a "5 tips to save thousands" clickbait piece, and not a glossy summary that glosses over the numbers. It's the checklist I'd email to a British friend who just got posted here and asked me what to do.

I've kept it Singapore-specific because Singapore is unlike any other car market in the world. The COE system, the PARF rebate, the 10-year clock, the ERP, the street-level parking coupons — none of these exist elsewhere in the form they take here. If you bring a UK car-buying mental model to Singapore, you will spend thousands more than you need to. If you bring a Dubai or US or Australian mental model, same result.

It's honest about the real cost because the real cost is higher than you think. It's honest about the tools I use because the currency conversion alone is a four-figure decision for most expats in their first month. And it's written from the perspective of someone who's now on his third Singapore car and has finally stopped making the mistakes I list below.

— Patrick

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## Part 1: Understanding the five things you're actually paying for

Before you even look at a car, you need a working understanding of the five components of the on-the-road price. Every showroom leaflet buries at least two of these and none of them explain the interactions clearly. Here's the short version.

**OMV (Open Market Value)** The assessed import value of the vehicle, set by Singapore Customs. This is the foundation on which every other tax is calculated. It's not the list price, not the price you'll pay, not the manufacturer's suggested retail price. It's a customs valuation. For a Toyota Corolla Altis it's around S$22,000. For a Tesla Model Y Performance it's around S$65,000-70,000. For a BMW 7-Series it's around S$130,000.

**ARF (Additional Registration Fee)** A tax calculated on the OMV using a tiered structure. The current tiers charge 100% on the first S$20,000 of OMV, 140% on the next S$20,000, 190% on the next S$20,000, 250% on the next S$20,000, and 320% on anything above S$80,000. **Verify current**

**ARF rates with LTA before final decision** — these tiers have been adjusted in past budgets and may change again.

So for a car with an OMV of S$40,000, the ARF is: 100% × S$20,000 = S$20,000, plus 140% × S$20,000 = S$28,000, totalling S$48,000 in ARF alone.

This is the bit that makes Singapore car ownership feel surreal the first time you encounter it.

**COE (Certificate of Entitlement)** The right to register a car in Singapore for 10 years. There's a fixed quota of COEs released per month, split across five categories (A: small cars up to 1600cc / 97kW, B: bigger cars above that threshold, C: goods vehicles, D: motorcycles, E: open). You bid for one in a twice-monthly auction. The quota premium is the lowest successful bid in each category and it fluctuates wildly with demand. Category A has recently been in the S$80,000-110,000 range. Category B has been in the S$110,000-140,000 range. **Verify current COE prices at onemotoring.com.sg** — they're published twice monthly and are the most volatile line item in any Singapore car budget.

**GST** Currently 9%, charged on OMV + excise duty. About S$3,500-8,000 on most expat-grade cars.

**Excise duty** 20% of OMV. Around S$4,400-16,000 on most expat-grade cars.

**VES (Vehicular Emissions Scheme) rebate or surcharge** Bands A1 through C2. Best case you get a S$25,000 rebate off ARF (A1, pure-EV territory), worst case you pay a S$25,000 surcharge on top (C2). Most petrol family cars are in the neutral B band or mildly rebated A2.

Put all of that together and you arrive at the OTR (on-the-road) price. For a 2026 Toyota Corolla Altis, the OTR is currently around S$180,000-200,000 depending on COE. A decade ago the same car was S$120,000. Six years ago it was S$95,000. The COE-driven price volatility is real.

## Part 2: The 10 questions to answer before you bid on a car

**1. Do you have a Singapore driving licence already?** UK licences convert directly under the Direct Issue List (though you still need to book an appointment, pay the fee, and pass an eye test). Convert before you're under car-buying pressure, not after.

**2. Are you buying new, parallel import, or used?** New from authorised dealer: simplest, most expensive, best warranty. Parallel import: the same cars imported outside the manufacturer's official distribution, typically 5-15% cheaper but weaker service network. Used: best value per dollar but you inherit somebody else's COE remaining years and any deferred maintenance.

**3. How long are you actually staying in Singapore?** If you're posted for 3 years, buying a car with 8 years of COE left is a financial mistake unless you're genuinely buying at the right dip in the market. The car-lease option deserves serious comparison.

**4. Where will you park at home?** Most condos allocate 1 parking lot per unit. If you have two cars or a larger car that won't fit a standard lot, this matters. Ask before you commit to the unit, never mind the car.

**5. Will you commute in it, or is it a family second car?** ERP, fuel, parking, and wear are all driven by daily usage. A car that lives in the condo lot and comes out for weekends has dramatically lower running costs than a daily commute to Tanjong Pagar.

**6. Petrol or EV?** In 2026, the EV case in Singapore has tightened considerably. The VES A1 rebate is real, the road tax for EVs has been normalised, and the charging infrastructure at newer condos is

much better than it was even two years ago. But the upfront cost still sits higher than an equivalent petrol car, and **home-charging installation in a condo depends entirely on MCST approval** — see the EV home charging article on ExpatAutoAdviser for the condo-board playbook.

**7. What's the real insurance quote, not the website estimate?** Expat driver, minimal Singapore NCD, expensive car = premium shock. Get a real quote before you bid, not after.

**8. What's the monthly finance payment if you're not paying cash?** Singapore car loans have LTV (loan-to-value) limits. For a car with OMV > S$20,000 the maximum loan is typically 60% of the purchase price, over a maximum of 7 years. **Verify current LTV rules with MAS** — they were tightened in past years and may change.

**9. Do you understand the COE expiry options?** At 10 years you can: scrap the car and take the PARF rebate, pay for a 5-year or 10-year COE renewal, or sell the car to someone who'll do one of those things. Year 9 is typically the financial sweet spot for a sale.

**10. Have you compared the total 10-year cost to the equivalent of "don't own a car"?** For an expat in central Singapore with access to MRT, buses, and taxis, the real comparison is car ownership vs Grab/taxi/public transport, not one car vs another. For some expats the answer is "don't buy". Be honest about which side of that line you're on.

## Part 3: The 10-year cost worked example — Toyota Corolla Altis

To make this concrete, here's the rough 10-year total cost of running a mid-range Toyota Corolla Altis in Singapore. **All figures are approximate and depend on your insurer, district, and usage patterns** — treat this as a framework, not a quote.

| Item | Amount (S$) | Notes |
|---|---|---|
| OTR purchase price (2026) | 180,000-200,000 | Depends on COE at time of purchase |
| Insurance × 10 years | 18,000-30,000 | S$1,800-3,000/year, expat driver, standard NCD |
| Petrol × 10 years | 24,000-36,000 | 15,000 km/year, S$2.80/litre, 7L/100km |
| Road tax × 10 years | 8,000-10,000 | Based on engine capacity |
| Parking (season + coupons) × 10 years | 18,000-36,000 | Wildly condo-dependent |
| ERP × 10 years | 6,000-12,000 | Commuter-dependent |
| Maintenance × 10 years | 15,000-25,000 | Services, tyres, wipers, brakes |
| **Total gross cost** | **269,000-349,000** | |
| PARF rebate at year 10 (approx) | -30,000 to -40,000 | Depends on ARF paid, age |
| **Net 10-year cost** | **229,000-319,000** | **~S$23,000-32,000 per year** |

That's roughly £14,000-19,000 per year at current exchange rates for a mid-range family car. If it feels high, it is. Singapore is simply the most expensive city in the world to own a car, and running through this calculation once — before you buy, not after — is the single most valuable thing on this checklist.

## Part 4: The money side — moving GBP into SGD for the purchase

If you're funding a Singapore car purchase from UK savings, the currency conversion is one of the largest transactions most expats will ever make. On a S$200,000 car with a 40% down payment, you're moving roughly £45,000 at current rates. Every basis point of the exchange rate matters.

UK high-street banks charge between 2% and 4% on the spread, plus a flat SWIFT transfer fee of £25-40. On a £45,000 transfer that's a loss of £900-1,800 to spread alone, plus the transfer fee. [Wise](WISE*LINK*PLACEHOLDER) sends the same money at the real interbank rate with a transparent fee typically under 0.5%. On the same £45,000 transfer that's a saving of £700-1,500

compared to high-street SWIFT.

I use Wise for every significant GBP-to-SGD move — the car purchase, the rental deposit, the school fees. Over my first five years in Singapore I've saved north of S$8,000 in avoided bank spreads without doing anything cleverer than picking the right transfer tool. It's the easiest five-figure saving an expat can make in their first year.

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**Practical tip on timing:** don't transfer the whole deposit in one go. Set up the [Wise](WISE*LINK*PLACEHOLDER) account, verify ID while you're still UK-resident, and then transfer in 3-4 tranches across 2-3 weeks to average out exchange-rate noise. The alternative — a single big transfer on a single day — means you're committing to whatever the GBP/SGD spot rate happens to be that morning, which can cost (or save) 1-2% depending on where the market's moved.

## Part 5: The COE bidding process in plain English

COEs are auctioned on the 1st and 3rd Monday of each month. The bidding runs for three days and ends on the following Wednesday. You need an active COE bid via your dealer or directly through OneMotoring to buy a new car, and the car cannot be registered until you've secured one.

**How dealers typically handle it:**

1. You go to the showroom, agree on a car and a price 2. You sign a Sales Agreement with an "indicative" COE price included in the OTR — this is the price the dealer thinks the COE will clear at in the next bidding round 3. You pay a deposit (usually S$3,000-5,000) 4. The dealer bids on your behalf in the next round 5. If the COE clears below the indicative price, you may (depending on dealer) get a small refund 6. If the COE clears above the indicative price, you are contractually obliged to cover the shortfall — read the Sales Agreement carefully for the exact language 7. Once the bid succeeds, the car is registered and delivered within 2-6 weeks

**Watch-outs:**

- Some dealers quote an "all-in" OTR that fixes the COE at a specific price — if the COE clears lower they keep the difference, if higher they absorb it. This is marginally more expensive on average but gives you price certainty. For first-time Singapore buyers it's often worth the peace of mind.
- Never sign a Sales Agreement that doesn't explicitly state whether the COE price is indicative or fixed
- Never pay more than a S$5,000 deposit before the bid is confirmed

## Part 6: The 10-item pre-purchase checklist

Before you sign anything, verify every item on this list:

- COE price in the Sales Agreement clearly marked as indicative or fixed
- Current COE prices verified on OneMotoring.com.sg (not just what the dealer says)
- VES band confirmed (A1/A2/B/C1/C2) — affects ARF calculation
- Real insurance quote from at least two insurers, in writing, in your name
- Financing options compared — cash vs finance and actual loan-to-value ratio

- Condo parking confirmed (size, availability, fee)
- Home charging situation confirmed if buying an EV
- 10-year total cost calculated using Part 3 framework
- Comparison against 5-year car lease for your duration in Singapore
- [Wise](WISE*LINK*PLACEHOLDER) account open and funded for the GBP→SGD transfer

Tick every box before you sign. I didn't on my first car and it cost me roughly S$6,000 in avoidable mistakes.

## Final word from Patrick

Singapore car ownership is entirely rational if you've done the maths, and entirely irrational if you haven't. The difference between a good purchase and a bad one here is almost never about which model you pick — it's about whether you understood the 10-year cost, timed the COE correctly, moved the money efficiently, and matched the car to the length of your posting.

If you go through every item in this checklist before you sign a Sales Agreement, you'll be making an informed decision. If you skip any of them, you're guessing. On a S$200,000 purchase, the cost of guessing is real.

Good luck. I read every reply to the welcome email — if you get stuck on a specific number or want a sanity check on a quote, send it over and I'll tell you what I see.

— Patrick *ExpatAutoAdviser.com*

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